

PERFORMANCE REQUIREMENTS SUMMARY

1. The purpose of this exhibit is to:

1.1 List the contract requirements considered most critical to acceptable contract performance (Required Service). These requirements are not to be construed as the only performance indicators to be utilized by the Contracting Officer in determining satisfactory performance of the contract, as Contract Discrepancy Reports (CDRs) are issued for other than performance indicators listed here. The criticality of CDRs will be determined by the Contracting Officer and a corresponding deduction for non-performance will be assessed.

1.2 Summarize or establish the standard for perfect performance required by the contract for each required service (Standard of Performance).

1.3 Establish the maximum allowable degree of deviation from perfect performance for each requirement (Acceptable Quality Level-AQL) that will be allowed by the Government before contract performance is considered unsatisfactory.

1.4 Explain the quality assurance method the Government will use for each required service to evaluate the Contractor's performance in meeting the contract requirements (Method of Surveillance).

1.5 Show the percentage of the monthly contract price that each listed required service represents.

1.6 Define the procedure the Government will use in reducing the Contractor's monthly payment if satisfactory performance is not rendered by the Contractor.

2. The Government's primary quality assurance procedures (Method of Surveillance) are based on random sampling of the critical output products (required service) of the contract using the concepts of ANSI/ASQC Z1.4. Some contract requirements will, however, be surveilled using Contractor reports.

3. The criteria for acceptable and unacceptable performance under this contract shall be as follows:

3.1 Required Services surveilled by Random Sampling: Criteria shall be as derived from ANSI/ASQC Z1.4 based on the lot size, sample size, and Acceptable Quality Level (AQL) for each required service. When the number of defects in the Contractor's performance discovered by the Quality Assurance Evaluator (QAE) exceeds the acceptable level, the Contractor shall be required to complete a CDR. The CDR requires the Contractor to explain in writing why performance was unacceptable, how performance shall be returned to acceptable levels, and how recurrence of the problem shall be prevented in the future.

3.2 Required Services Surveilled by Other Than Random Sampling: The criteria for non-sampled requirements were established based upon the level of performance experienced when the service was performed by Government personnel or are the level of performance deemed acceptable to the Government and further justification for use of established AQLs is not deemed necessary. The use of the CDR as described in Paragraph 1.1 applies to these requirements as well.

4. Each month the Contractor's performance will be compared to contract standards and Acceptable Quality Levels using the Government's Quality Assurance Surveillance Plan. If the performance of any listed required service is unsatisfactory and the poor performance is not caused by reasons beyond the control of and without fault of negligence by the Contractor, an amount of money up to the percentage cost of the required service (as stated in the fifth column of the Performance Requirements Summary Table) will be deducted from the monthly amount otherwise payable to the Contractor.

4.1 The amount of money to be deducted for unsatisfactory performance using the random sample method will be computed as follows:

EXAMPLE:

IF: Quality of required service is unsatisfactory (AQL of 6.5% is exceeded),
AND: Contract price is \$100,000 per month,
AND: Quality of required service deduct percentage is 10%,
AND: Sample size is 50,
AND: Number of defects in the sample is 10 (reject number is 8),
THEN: Deduction from the monthly amount payable is computed:

Contract price per month	\$100,000
× Deduct Percentage	<u>.10</u>
× Percent of Sample Defective	<u>.20</u> (10÷50)
Deduction is	\$ 2,000

4.2 Required Services Surveilled by Other Than Random Sampling: For required services which are not surveilled by random sampling, the percentage of the monthly contract price (as indicated in the fifth column of the Performance Requirements Summary Table) will be deducted as above EXCEPT the defects are divided by the total lot size.

EXAMPLE:

IF: Quality of required service is unsatisfactory (AQL of 6.5% is exceeded),
AND: Contract price is \$100,000 per month,
AND: Quality of required service deduct percentage is 15%,
AND: Sample size is 150,
AND: Number of defects in the sample is 30 (reject number is 8),
THEN: Deduction from the monthly amount payable is computed:

Contract price per month	\$100,000
× Deduct Percentage	<u>.15</u>
× Percent of Sample Defective	<u>.20</u> (30÷150)
Deduction is	\$ 3,000

5. During the first two months of performance under this contract (not Option Periods), a larger error rate, or AQL is allowed for certain required services to recognize normal phase-in problems. The figures contained in parenthesis in the AQL column of the Performance Requirements Summary Table are the AQLs that will be used during the Phase-in period to determine satisfactory/unsatisfactory performance and any deduction.

6. The rights of the Government and remedies described in this Performance Requirement Summary are in addition to all other rights and remedies set forth in this solicitation. Specifically, the Government reserves its rights under the Inspection of Services (FAR 52.246-04, Aug 96) and Termination for Default (FAR 52.249-8, Apr 84) clauses. Any deduction pursuant to the PRS shall reflect the reduced value of services performed under the present contract. The Contractor shall not be relieved of full performance of the services hereunder and may be terminated for default based upon inadequate performance of service, even if a deduction was previously taken for inadequate performance. The Government may modify the type and frequency of inspection of items.

7. The enumeration of critical services and allowable degrees of deviation from perfect performance in this Performance Requirements Summary are not intended and should in no way be construed to indicate that the Government has bargained for anything less than satisfactory performance of all Required Services by the Contractor.

8. The Government reserves the right to require the Contractor to re-perform any or all defective work, or perform late any incomplete or nonperformance disclosed by Government inspection or customer complaint. Rework or completion of incomplete or non-performed work disclosed during Government inspection does not relieve the

Contractor of required completion time as stated within the contract. Government action for defective work or nonperformance of work discovered by customer complaint or other inspection methods will be handled in accordance with FAR 52.246-04, Inspection of Services, Aug 1996.

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Performance Objectives	Performance Work Statement (PWS) Para.	Performance Standard
Proper Packing/Loading/Containerization of Personal Property for Onward Movement	Part 1, Paragraph A.4, Paragraph A.7	No more than 3 percent of total number of shipments are incorrectly packed/loaded/containerized per month.
On-time Pickup/Delivery of	Part 1, Paragraph A.3	No more than 5 percent per month of the total number of shipments are validated customer complaints for untimely pickup/delivery.
Timely pickup/return, proper preparation of documentation.	Part 1, Paragraph A.2.i, A.8.a, A.8.c, A.8.i	98 percent on-time return of completed, accurate, legible documentation to JPPSO per month. 96% on-time pickup of documentation from JPPSO per per month.
Accurate invoicing of charges.	Part 3, Paragraph 4	98 percent error-free invoice submission rate per month.
Maintain adequate facilities serviceable equipment.	Part 1, Paragraph A.11, Paragraph A.7.h.	Less than three violations per quarter based on inadequate facilities or unserviceable equipment as outlined in Appendix E.
Protection and Accountability of Government-Owned Containers (GOCs).	Part 1, Paragraph A.7.a A.7.a (1), A.7.e, A.7.g (1), A.7.G.(2)	No more than 2 percent of total number of GOCs improperly protected during this quarter. Less than two failures per month to re-coup GOCs within specified time frame.
Premove Survey/ physical or telephonic.	Part 1, Paragraph A.1	No more than 5 percent to total shipments with no premove performed per quarter
Timely notification to PPSO within time limit PPSO on Inbound shipments.	Part 1, Paragraph A.3.e	No more than 2 percent of total inbound shipments not reported to PPSO within time limit per month.
Tonnage requirements.	Part 1, Paragraph A.2.a	No more than 2 percent of total shipments offered within 25,000 pound minimum requirement refused per month.

***This document has incorporated Appendix G, Performance Work Statement, Reference Table G-2, Service Delivery Summary, with additional Fort Riley performance standards.